and capital goods. At the time, we coined the slogan: ‘Each time we cut tariffs, exports will go up’.

This strategy helped dilute the organized opposition of Indian industry against tariff cuts. The private sector was now armed with global-quality capital goods and buying global-quality raw materials. The stage was then set for liberalization of imports of consumer goods.

A related element was the announcement by Yashwant Sinha that every year, the peak customs tariff rate would go down by five percentage points. This was an extremely wise move. Each decline, of five percentage points, was not big enough to kick off a furore. But the remorseless application of this rule, year after year, created certainty in the minds of the private sector that they had to gear up for a world of free trade. At the same time, they were given time to gear up with globally competitive technology.

Element 5: Restraints against abuse of coercive power

Some of the hardest sequencing problems involve creating organizations that wield the coercive power of the state. At early stages of development, individuals in organizations such as enforcement institutions, will perhaps have poor checks and balances. This will create the possibility of arbitrary use of the coercive power of the state.

> *I look upon an increase in the power of the state with greatest fear, because although while apparently doing good by minimizing exploitation, it does the greatest harm to mankind by destroying individuality which is at the root of progress. State represents violence in a concentrated and organized form.*
>
> Mahatma Gandhi

When large punishments can be inflicted upon the people, the power of individuals in enforcement institutions becomes extreme. There is a danger that enforcement organizations become roving bandits, engaging in